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Pil E.A.

Academician of RANH, Professor, Doctor of Technical Sciences,

St. Petersburg, Russia

ANALYTICAL REVIEW: BANKING SYSTEMS OF THE GULF COOPERATION COUNCIL COUNTRIES AND THEIR DIFFERENCES FROM EUROPEAN BANKS

Introduction

The banking sector of the Gulf Cooperation Council (GCC) countries — Bahrain, Qatar, Kuwait, the UAE, Oman, and Saudi Arabia — represents a unique phenomenon in the global financial system. On the one hand, it is a highly capitalized and resilient sector, supported by oil revenues and government guarantees. On the other hand, it is a market with its own specific features, including the dominance of Islamic finance, high concentration of credit portfolios, and limited diversification [1].

This review examines the key characteristics of the GCC banking system, its strengths and weaknesses in comparison with European banks, the classification of banking institutions, as well as strategic development prospects.

Section 1. Classification of Banking Institutions in the Gulf Cooperation Council Countries

The banking systems of the GCC member states employ divergent approaches to the classification of banking institutions. The most comprehensive framework has been developed in Bahrain, where classification is based on two independent parameters: business model (Islamic versus conventional) and operational focus (retail versus wholesale) [2].

Table 1 – Classification of Banks by License Type and Business Model (the case of Bahrain)

No.	Bank Type	Description	Source
1	**Conventional Retail Banks**	Licensed by the CBB to operate on conventional (interest-based) banking principles. Core activities include taking deposits and providing loans, with lending required to constitute a significant part of the business (over 20% of assets). Operations in any currency are permitted with both residents and non-residents of Bahrain.	[2]
2	**Conventional Wholesale Banks**	Licensed by the CBB to operate on conventional principles, but with a client base consisting of large corporations and high-net-worth individuals. For transactions with Bahraini residents and/or in Bahraini dinars, threshold values have been established: BD 7 million for deposits and loans, and USD 100,000 for other transactions.	[2]
3	**Islamic Retail Banks**	Licensed by the CBB to operate in accordance with Sharia principles. Minimum activities include accepting Islamic funds (deposits), managing investment accounts with profit distribution, and providing Islamic financing contracts. The latter must constitute at least 20% of total assets.	[3]
4	**Islamic Wholesale Banks**	Licensed by the CBB to operate in accordance with Sharia principles with large corporations and high-net-worth individuals. The same threshold values apply for transactions with residents as for Conventional Wholesale Banks: BD 7 million for	[3]

		deposits and financing, and USD 100,000 for other Sharia-compliant services. Unlike Islamic Retail Banks, there is no requirement for financing to constitute a significant part of the business.	

Section 2. Key Characteristics of the GCC Banking Sector

2.1. Structure and Scale

The GCC banking system comprises over 150 banking institutions, with the sector demonstrating a high level of concentration within national economies [14]. Banks in the Gulf countries are predominantly domestically oriented: 45% of all branches are located within the GCC region [15].

Islamic banking is more developed in the GCC than in any other part of the world. In the GCC countries, Islamic banks operate on market principles and compete with conventional banks, unlike Iran, where Islamic banking is state-controlled [2]. There is no single unified Islamic banking law in the GCC; regulation is carried out through central bank regulatory acts and national legislation [2].

Table 2 – Comparison of Bank Classification Approaches in GCC Countries

No.	Country	Bank Classification	Retail/ Wholesale Division	Key Regulator	Source
1.	**Bahrain**	Retail Banks and Wholesale Banks, existing in both conventional and Islamic sectors	Yes, formal licensing category	Central Bank of Bahrain (CBB)	[2, 3]
2.	**Qatar**	Commercial banks (Conventional),	No, the primary division is by business model	Central Bank of Qatar (QCB)	[16]

		Islamic banks, Foreign banks			
3.	**Kuwait**	Commercial Bank License, Islamic Bank License, Investment Bank License	No, investment banks operate in the wholesale segment, but this is not a separate category	Central Bank of Kuwait (CBK)	[17]
4.	**UAE**	Commercial banks, Islamic banks, Investment banks, and Foreign banks	Partially, but not as a primary division	Central Bank of the UAE (CBUAE)	[18]
5.	**Oman**	Commercial, Islamic, Investment, and Foreign bank licenses. Since 2025 — digital banks Category 1 and Category 2	No, the terms are used to describe business lines	Central Bank of Oman (CBO)	[19]
6.	**Saudi Arabia**	All banks offer a wide range of retail and wholesale	No, the terms are used to describe products; they	Saudi Central Bank (SAMA)	[20]

		products. The key division is into Islamic and conventional banks	are not a licensing category		

2.2. Profitability and Efficiency

GCC banks demonstrate exceptionally strong financial performance. Robust net interest margins, high return on assets, and disciplined cost management provide them with a sustainable competitive advantage over many European and American banks [6]. This financial buffer enables GCC banks to invest in digital transformation, artificial intelligence, and fintech partnerships at a time when margin compression constrains innovation in many other markets [6].

In particular, Qatar stands out for the highest operational efficiency in the region, with the lowest cost-to-income ratios [6]. The UAE serves as an innovation and fintech hub with a high level of digitalization [6].

Section 3. Strengths of GCC Banks

3.1. Resilience During Crises

GCC banks demonstrated high resilience during the global financial crisis of 2008–2009. Unlike Western banks, the GCC sector avoided major bankruptcies and government bailouts [1]. According to estimates, Islamic financial institutions in the region proved particularly resilient, owing to the prohibition on interest and the absence of structured products that became toxic for conventional banks [11].

However, the crisis also exposed vulnerabilities: in 2009, the region witnessed defaults of major corporations (the Saad and Al Gosaibi groups) and the Dubai crisis, which led to a deterioration in asset quality and a decline in profitability [11].

3.2. Government Support

GCC banks benefit from substantial government support. State deposits, guarantees, and direct government participation in bank capital create a "protective cushion" for the financial sector [14]. As noted in research, GCC banks maintain capital

well above regulatory requirements and enjoy high liquidity levels, supported by healthy deposit growth [14].

3.3. High Capitalization and Liquidity

High capitalization has traditionally been a key advantage of GCC banks [5]. Strong shareholders and the ability to raise capital enable banks in the region to finance expansion, including acquisitions of assets in Turkey, Egypt, and Pakistan [5, 15]. The stability of the system is further supported by the pegging of currencies to the US dollar [15].

3.4. Favorable Domestic Conditions

Restrictions on foreign ownership of banks in the GCC countries create a "protected" domestic market with limited competition, which ensures high margins and stable cash flows [15]. Low operating costs and the absence of taxation further enhance profitability [5].

Section 4. Weaknesses and Risks of GCC Banks

4.1. High Concentration of Credit Portfolios

The most significant risk for GCC banks is the high concentration of lending. Most banks have a substantial share of corporate loans (particularly in cyclical sectors: construction, real estate, and hospitality) and a limited volume of retail lending and SME financing. In corporate portfolios, there is a high concentration on state-owned enterprises, semi-government entities, and family-owned businesses [1].

In the UAE, for example, the Central Bank has issued guidance on limiting credit risk exposure to government and semi-government institutions [1].

4.2. Liquidity Risks

In some GCC countries, where banking systems have grown on the basis of a large offshore financial sector, institutions proved vulnerable to the freeze in international money markets following the collapse of Lehman Brothers. Banks that were dependent on wholesale funding had grown actively during the boom period

on the basis of cheap short-term borrowings and proved unable to refinance these obligations after the crisis [1].

4.3. Insufficient Clarity in Provisioning

Although GCC banks are well capitalized, risk concentration in certain sectors and the adequacy of provisioning levels continue to raise questions. In some cases, exemptions from strict provisioning rules have been granted to manage large government or semi-government exposures during restructuring, which may obscure the true state of capital [1].

4.4. Limited International Experience

GCC banks demonstrate limited operational experience beyond their home countries. Their lending operations are predominantly concentrated in domestic markets, and intra-regional exposure is limited [5]. This creates obstacles to expansion and income diversification [15].

4.5. Dependence on Hydrocarbons

All GCC economies are significantly dependent on hydrocarbon revenues. A decline in oil prices (as occurred during the COVID-19 pandemic) can negatively affect economic activity and, consequently, the financial sector [15].

Section 5. Key Differences Between GCC Banks and European Banks

Table 3 – Comparative Analysis of GCC Banks and European Banks

No.	Comparison Criterion	GCC Banks	European Banks	Sources
1	**Business Model**	Predominantly corporate lending; simple products; Islamic banking as a significant segment	Broad product range; high complexity of derivatives and structured products	[1, 2]

2	**Capitalization**	High, often above regulatory requirements	Moderate; CET1 ratio ~16.1% (2025) with a 9% requirement	[4, 5, 14]
3	**Liquidity**	High, supported by government deposits	Stable; LCR 157%, NSFR 126% (2025)	[4, 14, 15]
4	**Risk Profile**	High loan concentration (real estate, state-owned companies)	More diversified portfolio; NPL 1.9% (2025)	[1, 4]
5	**Crisis Resilience**	Demonstrated resilience in 2008–2009; avoided bankruptcies and bailouts	Vulnerable to crises; required government bailout programs	[1, 14]
6	**Regulatory Environment**	Developing; less standardized; Islamic banks regulated at the national level	Highly standardized; uniform rules (CRR, CRD)	[1, 2, 4, 9]
7	**Profitability (ROE)**	Consistently high; above European levels	~10% (2025); recovered after low-rate environment	[4, 6]
8	**Digitalization**	Accelerating growth; investments in AI and fintech	High level of digitalization; operational risks from cyber threats	[4, 6]

9	**Ownership Structure**	High share of state ownership; restrictions on foreign ownership	Private capital; broad shareholder base	[15]
10	**Geographic Diversification**	Highly localized; 45% of branches in the GCC	Globally diversified	[15]

6.2. International Expansion

GCC banks are facing saturation in domestic markets and are seeking growth opportunities abroad. The main destinations are Turkey (2,156 branches of GCC banks), Egypt (745), and Pakistan (1,147) [15]. However, presence in Europe and the United States remains minimal, with only 56 branches in total [15]. There is potential for expansion into Europe and Asia, particularly in the niche of Islamic banking [15].

6.3. Business Model Transformation

GCC banks are actively investing in digital transformation, fintech, and Islamic banking. The UAE and Saudi Arabia are leading the region in the adoption of digital solutions [6]. Investments are directed toward open banking platforms, artificial intelligence, and cloud technologies [6].

6.4. Regulatory Strengthening

GCC central banks are enhancing coordination in the areas of banking supervision, payment systems, and cybersecurity. Regular joint meetings are held to harmonize regulations and combat money laundering [3, 8].

CONCLUSION

The GCC banking sector represents a unique model that combines high resilience, government support, and a growing Islamic segment. Unlike European banks, it is more conservative in the use of complex products and less internationalized, which has ensured its relative stability during periods of financial turmoil [1].

The classification of banking institutions in the region is not unified: Bahrain employs a detailed system of division into retail and wholesale banks within both the

conventional and Islamic sectors, whereas in other GCC countries the primary division is by business model (Islamic vs. conventional banks) [2, 3, 16, 17, 18, 19, 20].

However, high risks of credit portfolio concentration, dependence on oil market conditions, and limited international experience require proactive measures from regulators and bank management. Diversification through international expansion, the development of new products (including SME lending), and digital transformation are key priorities for further growth and strengthening the position of the GCC banking sector [1].

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